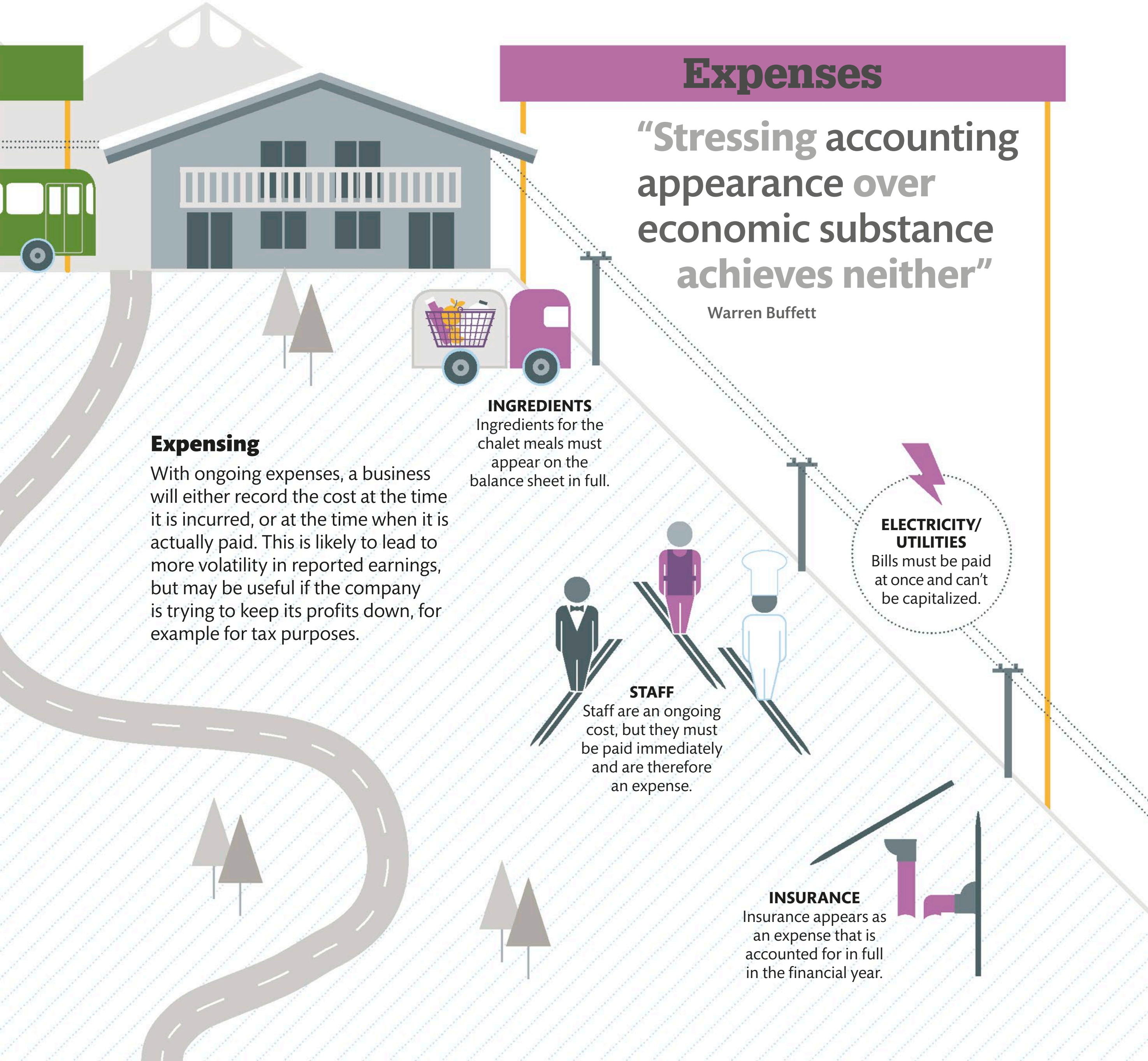
How it works

Business owners and managers have a choice. They can record an expense as it occurs or at the time of payment and reduce the annual profit accordingly. This practice, known as expensing, will show up immediately in the account. If the expense will provide value for more than one year, it can be recorded as an asset once depreciation is accounted for. Known as capitalizing, this practice has the advantage of taking costs out of the business gradually, rather than in one lump sum. The profit-and-loss account is not as dramatically affected in this case.



Expenses

"Stressing accounting appearance over economic substance achieves neither"

Warren Buffett

Expensing

With ongoing expenses, a business will either record the cost at the time it is incurred, or at the time when it is actually paid. This is likely to lead to more volatility in reported earnings, but may be useful if the company is trying to keep its profits down, for example for tax purposes.

INGREDIENTS
Ingredients for the chalet meals must appear on the balance sheet in full.

ELECTRICITY/ UTILITIES
Bills must be paid at once and can't be capitalized.

STAFF
Staff are an ongoing cost, but they must be paid immediately and are therefore an expense.

INSURANCE
Insurance appears as an expense that is accounted for in full in the financial year.